20 Oct 2026 13:56:38 ET | 11 pages

Han's CNC (3200.HK/301200.SZ)

3Q26 Results First-Take: Strong GPM Suggests Higher AI Revenue Exposure

CITI'S TAKE

Five days after releasing 3Q26 preliminary results, Han's CNC (HC; 3200.HK/301200.SZ) announced official 3Q26 results today (20 Oct). The new information GPM came in at 39.3% in 3Q26, up 5.7pp YoY/up 3.3pp QoQ and suggesting a higher revenue exposure from AI-related equipment, which includes not only mechanical PCB drilling equipment but also CO_2 and ultrafast laser drillers. Mgmt. indicated that 9M26 CO_2/ultrafast laser drilling equipment revenue exceeds Rmb400mn/300mn, accounting for >5.1%/>3.8% of total revenue in 9M26, implying that 3Q26 CO_2/ultrafast laser driller revenue of Rmb200mn/200mn, each representing ~7% of total revenue in 3Q26. As opposed to the 3Q26 preliminary results, we view the 3Q26 official results positively as the strong GPM implies higher AI revenue contribution, which could be ~50% based on our estimate. Mgmt. is even more positive on both CO_2 and ultrafast laser drilling equipment for 2027. We maintain Buy on **HC-H (3200.HK)**.

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CO_2 laser drilling equipment - Mgmt. seemed to turn more positive on CO_2 laser drilling equipment given the supply tightness at **Mitsubishi Electric (6503.T)**, prompting the leading Chinese and Taiwanese PCB makers to purchase CO_2 laser drillers from HC. Mgmt. also indicated that one leading Taiwanese PCB maker in the AI supply chain has placed orders for 100 units of CO_2 laser drillers in 2026TD and that the order visibility for 2027 could reach 1,000 units.

What's next? - HC will host a 3Q26 results briefing at 9:00am HKT, 20 Oct. We will provide more updates right after that.

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

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China PCB Equipment: 3Q26 Preliminary Results: Han's CNC Below Expectations While Han's Laser Above Consensus

Han's CNC (3200.HK / 301200.SZ): What's New from China Industrial | SMID | Transport Conf 2026: Ultrafast Laser and Beyond

Figure 1. HC: 3Q26/9M26 results snapshot

Rmb mn	3Q25	4Q25	1Q26	2Q26	3Q26A	YoY	QoQ	9M25	9M26A	YoY
P&L										
Net sales	1,521	1,870	1,955	3,030	2,856	88%	-6%	3,903	7,841	101%
Gross profit	517	789	648	1,104	1,122	117%	2%	1,238	2,874	132%
Operating profit	265	373	367	745	693	161%	-7%	558	1,806	224%
Net profit	228	333	323	634	587	157%	-7%	492	1,544	214%
Recurring profit	226	345	323	630	582	157%	-8%	476	1,535	223%
EPS (Rmb)	0.54	0.78	0.67	1.30	1.20	124%	-7%	1.16	3.17	173%
Margin										
GPM	34.0%	42.2%	33.1%	36.5%	39.3%	5.7 pp	3.3 pp	31.7%	36.7%	4.9 pp
OPM	17.4%	20.0%	18.8%	24.6%	24.3%	6.8 pp	-0.3 pp	14.3%	23.0%	8.7 pp
NPM	15.0%	17.8%	16.5%	20.9%	20.6%	5.5 pp	-0.4 pp	12.6%	19.7%	7.1 pp
OPEX ratio	16.2%	22.4%	14.0%	12.1%	14.5%	-1.7 pp	2.4 pp			

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*Consensus forecasts are not available.

Source: Citi Research, Company Reports

Han's CNC Technology

(3200.HK; HK$65.55; 1; 20 Oct 26; 16:10)

Valuation

Our target price for Han's CNC H-shares of HK$189 is based on ~26x 2027E P/E, set at 50% discount to its A-share's valuation as we consider the technology gap between Han's CNC and its global peers. We believe that our target multiple is not aggressive given a >90% earnings CAGR for 2026E-27E.

Risks

Potential downside risks that could impede the H-shares from reaching our target price include: 1) weaker-than-expected AI PCB equipment demand, 2) worse-than-expected GPM due to rising component costs, and 3) intensifying price competition due to the industry's equipment supply increase.

Han's CNC Technology

(301200.SZ; Rmb173.14; 2; 20 Oct 26; 15:00)

Valuation

Our target price for Han's CNC A-shares of Rmb322 is based on ~51x 2027E P/E, similar to its long-term average P/E. Our target multiple is conservative, in our view, considering 2027E earnings growth could be lower than that in 2026E.

Risks

Han's CNC stock is rated High Risk based on our quantitative risk-rating screen, but we think a High Risk flag is not justified given the company's high earnings visibility due to strong equipment demand from AI PCB makers. Potential downside risks include: 1) weaker-than-expected AI PCB equipment demand; 2) worse-than-expected GPM due to rising component costs; and 3) intensifying price competition due to the industry's equipment supply increase. Potential upside risks include: 1) stronger-than-expected AI PCB equipment demand; 2) better-than-expected GPM due to favorable product mix change; and 3) strong AI equipment demand leads to supply shortage for general PCB equipment. Any of these risk factors could cause the A-shares to deviate from our target price.

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Appendix A-1

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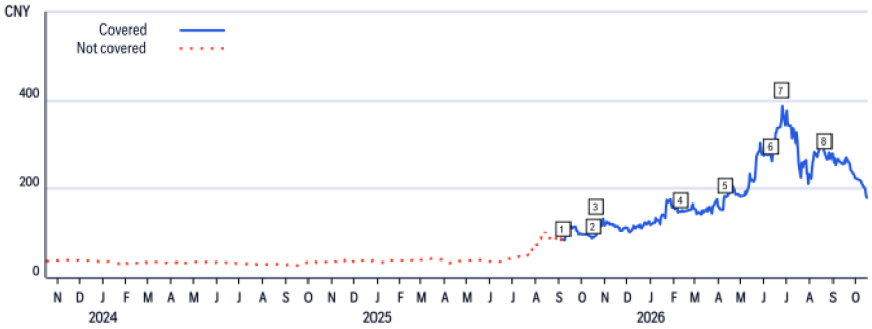
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Han's CNC Technology (301200.SZ)

Ratings and Target Price History
Fundamental Research

Analyst: Jamie Wang



	Date	Rating	Target Price	Closing Price
1	07-Sep-25 23:58:26	*1H	*108.00	85.55
2	16-Oct-25 04:50:23	1H	*124.00	91.80
3	20-Oct-25 12:42:56	1H	*140.00	96.06
4	09-Feb-26 03:30:27	*2	*160.00	149.62
5	10-Apr-26 12:18:38	2	*186.00	181.82
6	10-Jun-26 04:05:18	2	*290.00	270.81
7	24-Jun-26 11:21:29	2	*377.00	357.46
8	23-Aug-26 09:32:31	2	*322.00	282.01

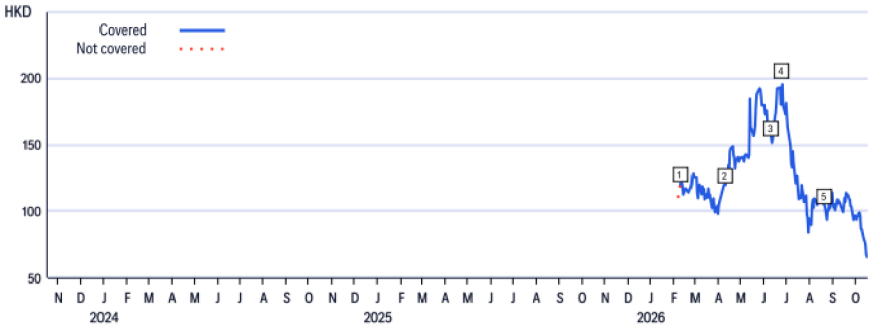
*Indicates Change

Rating/target price changes above reflect Eastern Time

Han's CNC Technology (3200.HK)

Ratings and Target Price History
Fundamental Research

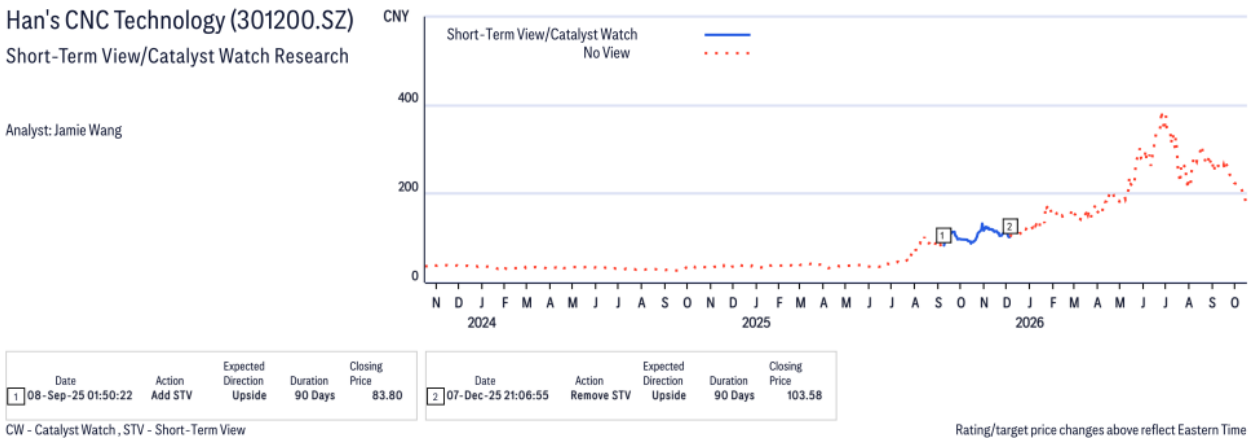
Analyst: Jamie Wang



	Date	Rating	Target Price	Closing Price
1	09-Feb-26 03:30:27	*1	*142.00	120.80
2	10-Apr-26 12:18:38	1	*160.00	119.80
3	10-Jun-26 04:05:18	1	*252.00	155.80
4	24-Jun-26 11:21:29	1	*325.00	184.30
5	23-Aug-26 09:32:31	1	*189.00	104.50

*Indicates Change

Rating/target price changes above reflect Eastern Time



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